Pennymac Correspondent
Rural Streamlined-Assist Product Profile
10.08.25
Delegated Only

Overlays to Rural Housing are underlined

LTV/CLTV and FICO Requirements		
Maximum LTV/CLTV	Minimum FICO	
	Non-Manufactured Home	Manufactured Home
No maximum	580	620

Ability To Repay and Qualified Mortgage Rule	• For loans subject to the ATR/QM rule, Pennymac will only purchase loans that comply with the ATR/QM requirements. • Correspondents are responsible for providing evidence of compliance with the ATR/QM rules. • Clear itemization of fees and application of all credits that indicate paid by/to will be required on all loans. • See Seller Guide section "Ability to Repay and Qualified Mortgage Rule" under "Delivery Procedures" for more details.
Age of Docs	• Credit documents must be no more than 120 days old on the date the note is signed, including credit reports and employment, income and asset documents. • Preliminary Title Policies must be no more than 180 days old on the date the Note is signed.
Appraisal	• Valuation product not required
Assets / Reserves	• Assets required for cash to close must be documented in accordance with the HB-1-3555. ○ VODs are not acceptable for asset documentation. • Reserves are not required.
AUS/Underwriting Method	• GUS is not utilized. Manual underwriting only

Borrowers	• U.S. citizens
	• Qualified alien or a U.S. non-citizen national
	  ○ Evidence of the applicant's valid government-issued photo identification must be retained in the permanent loan file.
	  ○ It is the client's responsibility to determine whether the applicant qualifies as a qualified alien based on the documentation provided to validate eligibility.
	  ▪ Refer to the Pennymac Non-U.S. Citizen Requirements document for additional information.
	• All borrowers must have a valid social security number
	• Non-occupant borrowers are ineligible
	• Borrowers may be added to the new loan
	• Existing borrowers on the current mortgage note must remain on the refinanced loan; however, deceased borrowers may be removed from the loan.

CEMA	• Ineligible

Condominiums	• Warranty review not required

Credit	• Minimum credit report requirement is a single-bureau soft-pull that includes a complete mortgage payment history with trended data for all mortgages and a credit score.
	• Loan Officers may utilize either a single-bureau credit report or a tri-merge credit report.
	  ○ All loan transactions must use the credit report type selected by the Loan Officer (i.e., If a single-bureau is selected all transactions must utilize single bureau credit reports; if a tri-merge is selected, all transactions must utilize tri-merge credit reports).
	  ○ If single-bureau credit reports are used:
	  ▪ All transactions must utilize the same credit bureau (i.e., Experian, Trans Union, Equifax)
	  ▪ Loan Officers may change their preferred credit bureau at most once every 3 months
	  ▪ And if a single-bureau credit report from the Loan Officer's selected credit bureau returns no score or an un-scorable credit history, the Loan Officer must utilize a tri-merge credit report on such transaction, and such tri-merge must show that the Loan Officer's preferred credit bureau shows no score.
	• At least one borrower must have a minimum of one credit score to be eligible.
	• The loan being refinanced does not reflect a delinquency in the previous 180 day period prior to the request for Conditional Commitment.

Disaster Policy	• Pennymac may require a post-disaster inspection for a period of 90 days from the incident period end date. See Pennymac disaster policy located in the Seller's Guide for full details.
Eligible / Ineligible Mortgage Products and Features	Eligible • Existing loan being refinanced must be a USDA Guaranteed Rural Housing loan • Fixed-rate 30-year term only Ineligible • Existing loan being refinanced: USDA 502 Direct Rural Housing loans • ARM mortgages • Interest-only mortgages • Balloon mortgages • Negative amortization • Pre-payment penalties • Two-closing construction to perm financing • Any SFHGLP programs/mortgage types/loan purpose/property types identified in HB-1-3555 or SFHGLP Procedure Notices that are not specifically allowed in any section of this product profile or the eligible mortgage products referenced above

eMortgages & eNotarization	• eMortgages and eNotarization are eligible for approved Delegated correspondents only
	• Lenders must be approved by Pennymac prior to delivering eMortgages, transactions closed using eNotarization or Remote Online Notarization (RON)
	• Lenders are responsible for ensuring eMortgage loans are delivered in accordance with all requirements in the Pennymac Correspondent Group eMortgage Guide, including but not limited to the following:
	  ○ Fixed rate mortgages only; and
	  ○ State; and
	  ○ Product; and
	  ○ Transaction; and
	  ○ eNotarization; and
	  ○ RON eligibility.

Escrows Accounts	• An impound account for collection of taxes and insurance (or additional escrow items) is required.
Exclusionary Lists	• CAIVRS must be checked and cleared

Guarantee Fee	• Upfront Guarantee Fee: 1% of the loan
	  ○ Not financed guarantee fee calculation: total loan amount x 1%
	  ○ Financed guarantee fee calculation: (base loan amount / .99) – base loan amount
	  ○ Partially financed guarantee fee calculation: total loan amount x 1%
	○ Annual Fee: .35% (calculated on the average scheduled unpaid principal balance of the mortgage)

High-Cost / Higher Priced	• Pennymac will not purchase High-Cost Loans • Higher Priced Mortgage Loans (HPML) transactions are eligible for purchase. HPML guidelines require that the transaction meets all applicable state and/or federal compliance requirements (refer to state restrictions section).
Income: Eligibility	• At the time of loan approval, the household's adjusted income must be below the applicable moderate-income limit. To determine eligibility, the lender is responsible for documenting the income of all adult members of the applicants' household (not just those who will be parties on the loan note). • Current income limits can be found in Appendix 5, on the USDA Income and Property Eligibility website, or by using the Agency's automated underwriting system, GUS. Annual and adjusted annual household income: • Annual income from all adult household members, not just the parties on the loan note, must be certified to ensure that a request for loan guarantee does not exceed the adjusted annual income threshold for the applicable state and county where the dwelling is located. • Documentation used to verify the annual adjusted household income must be retained in the loan file regardless of the GUS recommendation. • Annual income is calculated for the ensuing 12 months, based on income verifications, documentation, and household composition.

- Adjusted annual income is calculated by using the annual income calculation and subtracting any of the eligible deductions in 7 CFR 3555.152(c) for which the household may qualify. Refer to Attachments 9-A and 9-C of HB-1-3555 for examples and documentation options to support eligible deductions.

Considerations for income calculations:

- Income for each adult household member for the previous 2 years must be verified.
    - A household member is defined as all persons routinely living in the dwelling as a principal residence, except for live in aides, foster children, and foster adults. If a member of the household that will make the dwelling their principal residence is temporarily absent, their income must be included.
- Annual and adjusted annual income calculations must include all eligible income sources from all adult household members, not just parties to the loan note.
- Include only the first $480 of earned income from adult full-time students who are not the applicants, or a spouse of an applicants in annual and adjusted annual income.
- Include the income of an applicant's spouse, unless the spouse has been living apart from the applicant for at least three months (for reasons other than military or work assignment), or court proceedings for divorce or legal separation have been commenced.
    - Evidence to support living apart for three months may include, but is not limited to, an apartment lease, bills, or bank statements in their name alone delivered to a different address, etc.
    - This guidance applies to domestic partners, significant others, and fiancée's that are currently living with the applicant as a household/family unit. This guidance does not apply to adult dependents age 18 and up.
- Documented cost of living allowances or wage increases that will be effective on or before loan closing must be included in the annual income calculation.
- An adult household member that is currently unemployed but is seeking new employment must have their previous earnings included in annual income. The previous earnings are not required to be included when there is documented evidence to support they are not seeking to be reemployed, such as a tendered resignation or official termination from previous employer, or a signed statement from the adult household member that they do not plan to pursue new employment
- Income verifications provided by applicants that do not currently support historical earnings with the same employer (e.g., less hours worked, less overtime, less bonus, declining self-employment income, etc.) must be carefully reviewed to determine appropriate calculations.
- Verified changes of income amounts or sources in the ensuing 12 months must be documented.
    - Examples include, but are not limited to, pending retirement, resignation tendered, documented raise that will occur prior to loan closing, etc.
- When an income source will not be received for the entire year, the amount anticipated to be received within the ensuing 12 months must continue to be included in annual income unless excluded under 7 CFR 3555.152(b)(5).
    - Examples include, but are not limited to, child support, alimony, maintenance, Social Security, etc.
    - Annual income is the total of all income sources for a 12- month timeframe.
    - Income calculations must state the income source, the number of months receipt remaining for the ensuing 12- month timeframe, and the total amount to be received.
- A business (full time or part-time) that is closed may be removed from consideration for annual income when the applicants provide a letter of explanation and documentation to the lender which details all of the following:
    - When the business was closed;
    - Why the business was closed;
    - How the business was closed; and

	○ Evidence, satisfactory to the lender, to support the closure of the business. • Rental income must be considered in the annual income analysis regardless of its duration. • Income from assets must be included in the annual and adjusted annual income ○ Household members with cumulative net family assets (non-retirement) of $50,000 or greater, must have those assets reviewed for annual income purposes ○ The most recent asset information provided by applicants and household members at the time of loan application must be reviewed. ○ Net family assets with actual earnings will use the stated rate of interest to calculate annual income. ○ Net family assets that do not earn interest will use a current passbook savings rate (verified through websites) to calculate annual income (website printout should be retained in the file). ○ If the applicants have ownership in a business, or are self-employed, the lender should closely review the asset accounts to verify assets are not transferred between a personal account and a business account and vice versa. ▪ These accounts should function as two separate financial tools, one for personal transactions and one for business transactions. ▪ In the event the assets from the business account and personal account are co-mingled, the co-mingled assets would need to be included in the calculation of net family assets. ○ Deposits from virtual/cryptocurrency converted and deposited as U.S. currency should not be backed out when determining cumulative net family assets or the annual income calculations derived from assets. Note: Income derived from virtual and/or cryptocurrency is not eligible to be used for the repayment qualification. ○ Refer to the Asset Section in Attachment 9-A of HB-1-3555 for individual asset types and documentation and verification requirements. ○ <u>VODs are not acceptable for asset documentation.</u> • IRS transcripts are required for all required household members in addition to the documentation option selected by the lender. Refer to the Transcripts section below for additional information. Refer to HB-1-3555 for complete income, calculation, and documentation requirements.
Income: Repayment	• Repayment income is not calculated
Insurance	Hazard Insurance: • Hazard insurance providers should have ratings in accordance with the most recent Government Sponsored Enterprise (GSE) requirements • Hazard insurance policies should conform to the GSE coverage requirements of “the standard extended coverage endorsement,” which states that a policy cannot be accepted that in whole or part excludes wind, hurricane or catastrophe insurance unless the coverage is provided in another policy with the same coverage limits as the hazard policy. D • Borrower occupied properties should have replacement cost coverage in an amount equal to the guaranteed value of the improvements or the unpaid principal balance • Deductibles should not exceed 5% of the total coverage amount. Note: When using a high deductible, lenders must be mindful of the applicant’s repayment ability and ensure that chosen deductibles are reasonable for the applicant and will not cause undue hardship on the borrower. • Condominiums ○ The HOA must obtain and maintain adequate hazard insurance for the entire condominium project.

	▪ Lenders must verify that the HOA has a master or blanket hazard insurance policy for the entire condominium project that provides coverage and compensation for physical damage resulting from fire, wind, or natural occurrences.
	▪ If the condominium project's master or blanket policy does not include interior unit coverage. the lender must verify the applicant has obtained a Walls-In (HO-6) policy cover the interior of the unit and personal property inside the unit.
	Flood Insurance:
	• If a dwelling is in a Special Flood Hazard Area (SFHA) as identified by the FEMA, the property must be located within a National Flood Insurance Program (NFIP) participating community and the borrower must obtain flood insurance.
	  ○ Condominiums: If the unit in the condominium project is located in a SFHA ensure that the HOA obtains and maintains adequate flood insurance for buildings in a condominium project located within the SFHA.
	• The borrower must continuously maintain flood insurance for the life of the loan and the policy must be in force at the time of loan closing.
	• Flood insurance must cover the lesser of the outstanding principal balance of the loan or the maximum amount of coverage allowed under NFIP.
	• New or Proposed Dwellings: Rural Housing will not guarantee loans for new or proposed homes in an SFHA unless a Letter of Map Amendment (LOMA) or Letter of Map Revision (LOMR) is obtained that removes the property from the SFHA or obtains a FEMA elevation certificate that shows that the lowest habitable floor (including basement) of the dwelling and all related building improvements is built at or above the 100-year flood plain elevation in compliance with the NFIP.
	  ○ File must also document that there is a demonstrated need for the Single-Family Housing Guaranteed Loan Program (SFHGLP) and there are no practicable alternatives to new construction within the SFHA that are acceptable to the borrower(s)
	• Unless a higher amount is allowed by state or federal law (which includes FEMA policies), the maximum deductible clause for a flood insurance policy should not exceed $10,000.

Loan Purpose	• Rate and term only.
	• The new loan interest rate may not exceed the old loan interest rate.
	• The new loan amount may include the principal loan balance, accrued interest, eligible loan closing costs, pre-paids, lender fees, escrow account establishment, and the applicable upfront guarantee fee.
	• Unpaid fees, such as late fees due the servicer are not eligible to be included in the new loan amount
	• Secondary financing such as leveraged loans, down payment assist loans or home equity lines of credit cannot be included in a new guarantee refinance loan. These types of financing must be subordinated to the new guaranteed loan or be paid in full.
	• Cash back is not permitted.
	  ○ Borrowers may be reimbursed at closing for any fees paid in advance (for example, appraisal and credit report fee).
	  ○ Borrowers may also receive a refund at settlement that represents prepaid interest or overage from the borrower's escrow account.
	  ○ Excess loan funds that cannot be applied towards eligible closing costs, or that do not represent a reimbursement to the borrower for eligible pre-paid fees from their out-of-pocket expenses, must be applied as a principal reduction.
	• The lender may establish charges and fees for the refinance loan, provided they are the same as those as charged to other applicants for similar transactions.

Net Tangible Benefit	• A reduction of $50 or greater in the principal, interest, and annual fee (PI+A) payment on the new guaranteed loan when compared to the existing PI+A payment. ○ Due to amortization, the annual fee payment will reduce during the life of loan. To calculate NTB, compare the new loan's PI+A to the existing loan's PI+ annual fee at time of application.
Occupancy	• Owner-occupied primary residence only

**Property:
Eligible Types**
	• Properties must be located in areas designated by the Agency as rural or an area that was eligible at the time of the original loan closing
	• Single family attached and detached
	• PUDs
	• Low-rise and high-rise condominiums
	• Leasehold estates
	  ○ Must meet lease, applicant, and property requirements outlined in HB-1-3555.
	  ○ Refer to Property/Ineligible section for ineligible leasehold property types
	• Manufactured homes
	  ○ Multi-width units only
	  ○ Minimum 700 sq. ft.
	  ○ Fee simple ownership
	  ○ Must be permanently affixed, classified and taxed as real property
	  ○ Must be an existing unit that has never been previously installed or occupied on a different homesite
	  ○ No additions, alterations, or modifications on new or existing units are allowed, except porches, decks, or other structures built to engineered designs and inspected and approved by a local building code official.

Property: Ineligible Types	• Single-width manufactured homes • Manufactured homes on leasehold property • Mobile homes • 2-4 units • Cooperatives • Condotels • Hotel condominiums • Timeshares • Geodesic domes and berm homes • Working farms and ranches • Unimproved land • Property currently in litigation • Income producing properties that do not meet Rural Housing's requirements. Examples include, but not limited to greenhouses, grain bins, silos, dairy farms, hog barns, barns, multiple equestrian stables, and properties used primarily for agricultural, farming, or commercial enterprise. • Land trusts, including but not limited to Illinois, Native American trust land and restricted land and leasehold, Hawaiian Home Lands, and Community Land Trusts • Properties with Property Assessed Clean Energy (PACE) loans or assessments are ineligible.
Ratios (DTI)	• DTI ratios are not calculated

Rural Housing: Conditional Commitment	• Conditional Commitment for Single Family Housing Loan Guarantee (RD 3555-18)
	  ○ Must include completed, signed, and dated Lender Certification pages.
	  ○ Loans may not have an outstanding contingent Conditional Commitment.
	  ○ The lender has 90 days from the issuance of the Conditional Commitment to close the loan, with an opportunity for one 90-day extension. The extension must be requested prior to the expiration of the Conditional Commitment.
	• All documentation used to satisfy the Conditional Commitment must be included in the file.

Seasoning Requirements	• The request for Conditional Commitment must be at least 180 days after the note date of the USDA loan being refinanced; AND
	• The following Ginnie Mae seasoning requirements also apply:
	  ○ The borrower must have made at least six consecutive payments on the loan being refinanced as of the note date of the new loan, beginning with the payment made on the first payment due date; and
	  ○ The first payment due date on the new loan must be no earlier than 210 after the first payment due on the loan being refinanced.
	• For modified loans the following seasoning requirements apply:
	  ○ The borrower must have made at least six consecutive payments on the modified loan being refinanced as of the note date of the new loan, beginning with the payment made on the modified first payment due date; and
	  ○ The first payment due date on the new loan must be no earlier than 210 days after the first payment due date of the modified loan.

State Restrictions	• The 50 U.S. states plus District of Columbia are eligible
	  ○ Texas 50(a)(6) loans are prohibited
	  ○ Properties in WV are ineligible

	○ If HPML transaction, properties in CT, ME, are ineligible.
Tax Transcripts and 4506-C Requirements	• The lender is responsible for requesting tax transcripts in the early stages of the application process. The transcripts provide a quality control measure, required by SFHGLP, to ensure all income and asset earnings reported to the IRS have been disclosed to the lender. • Each adult household member, as applicable, must complete and sign IRS Form 4506-C for the previous two tax years at the time of submission to the Agency. ○ The 4506-C must be used to request full transcripts with all schedules. ○ Full time students ages 18 and up that are not the applicant, co-applicant, or spouse of an applicant are not required to sign the 4506-C or have transcripts provided. • The transcripts must be reviewed prior to loan closing and retained in the permanent loan file. • When transcripts from the IRS for the applicants or required household members cannot be obtained, the underwriter should document their correspondence to and from the IRS in the permanent loan file to support the omission. ○ The loan file will be considered complete when the explanation is documented. ○ Loan closings will not be delayed due to obstacles in obtaining the tax transcripts. ○ The lender remains responsible for obtaining transcripts, even if post-closing.
Temporary Interest Rate Buydowns	Temporary buydowns are eligible subject to: • Max total interest rate reduction of 2%, max increase per year of 1% (only 1/0, 1/1, and 2/1 buydowns allowed) • Maximum 2 years to reach standard note rate • <u>Minimum 660 credit score</u> • Must qualify at the standard note rate without benefit of the buydown • Borrower funded buydowns are not allowed • The buydown account must be fully funded at origination • The borrower must agree in writing that the temporary buydown funds will be placed in an escrow and paid directly to the lender each month to reduce the monthly mortgage payment • The funds must be placed in an escrow account with a financial institution supervised by a Federal or state agency • The borrower must agree in writing that the temporary buydown funds will be placed in an escrow and paid directly to the lender each month to reduce the monthly mortgage payment and a copy retained in the loan file. • Must meet all other applicable USDA requirements, including but not limited to qualification, documentation of buydown, and funding of buydown.

Title Insurance	• Title insurance is required.
	• Manufactured homes:
	  ○ The loan must be secured by both the manufactured home and the land on which it is situated, and both the manufactured home and the land must be legally classified as real property under applicable state law.
	  ○ An ALTA 7 endorsement or equivalent state form is required
	  ○ A mortgage, deed of trust, or security deed must be recorded in the land records and must identify the encumbered property as including both the home and the land. A manufactured home rider will be acceptable to meet this requirement.
	  ▪ The property description section of the security instrument must include a description of the manufactured home and the land. The description must be identical to the descriptions recorded on the affidavit of affixture and receipt of surrender of title, to include:
	  • Year, make, serial or Vehicle Identification Number (VIN), legal description
	  ○ As required by the local taxing authority, the unit and site must be classified, zoned, and taxed as real estate.
	• A leasehold estate must constitute real property, be subject to the mortgage lien, and be insured by a title policy.
	• Solar panels subject to a lease agreement or UCC filings must be subordinated to the mortgage lien and be reflected as such on the title policy.
	  ○ Properties with Property Assessed Clean Energy (PACE) loans or assessments are ineligible.
	• Private roads or streets must be protected by permanent recorded easement (non-exclusive and non-revocable easement without trespass from the property to a public street) or the street must be maintained by a homeowner's association (HOA). Shared driveways must also meet these requirements requiring a permanent recorded easement for ingress and egress.
	  ○ This agreement must be binding to successors and title.
	  ○ A copy of a title report may be used to evidence the easement.
	  ○ Private streets must have a permanently recorded easement or be owned and maintained by a HOA.
	  ○ All evidence of recorded easements or maintenance agreements must be reviewed and approved by the underwriter and documented in the loan file.
	• Attorney opinion letter ineligible

Seller shall deliver loans that were originated in accordance with USDA Rural Housing, unless otherwise noted in these Matrices.

Pennymac does not discriminate in any aspect of a credit transaction on the basis of sex, gender identity or expression, sexual orientation, marital status, familial status, race, color, ethnicity, religion, national origin, age, handicap or disability status, income derived from public assistance, military status or the good faith exercise of rights under the Consumer Credit Protection Act.